

Sales & Profitability Performance – Business Insights

Executive Summary

This analysis evaluates overall sales performance, profitability drivers, regional effectiveness, category contribution, and the impact of discounting. While total sales are strong (₹2.30M), profitability (₹286.4K, ~12% margin) is uneven across regions and categories. Targeted pricing, discount governance, and portfolio rationalization can materially improve margins.

Key KPIs (Overall)

- Total Sales: ₹2.30M
- Total Profit: ₹286.40K
- Profit Margin: ~12%

Interpretation: Healthy topline growth with moderate margins indicates room for operational and pricing optimization.

Trend Analysis (Monthly)

- Sales show an upward trend toward the latter months.
- Profit does not scale proportionally with sales, indicating margin pressure during growth phases.

Implication: Growth is partially driven by discounting or low-margin products.

Regional Performance

- West: Highest profitability (~₹108K) — strong pricing and product mix.
- East: Solid performance (~₹92K).
- South: Moderate profit (~₹47K).
- Central: Lowest profit (~₹40K) despite strong sales.

Insight: The Central region requires immediate margin intervention (pricing, logistics costs, or discount controls).

Category-wise Profit Contribution

- Technology: Highest profit contribution (~₹145K).
- Office Supplies: Strong contributor (~₹122K).
- Furniture: Consistently low profit (~₹18K).

Insight: Furniture is a structural drag on profitability.

Discount Impact on Profitability

- Orders with low or no discount generate the highest profits.
- Higher discount levels correlate with sharp profit erosion and losses.

Insight: Discounting is the primary margin killer.

Loss Concentration (Products)

- A small set of products accounts for most total losses.
- Losses are concentrated in specific SKUs rather than spread evenly.

Insight: Portfolio rationalization can quickly improve margins.

Business Risks Identified

1. Over-reliance on discount-led growth.
2. Persistent losses in the Furniture category.
3. Weak regional profitability in the Central region.

Actionable Recommendations

1. Discount Governance: Introduce discount caps and approval of workflows for high-discount orders.
2. Category Strategy: Reprice, bundle, or exit consistently loss-making Furniture SKUs.
3. Regional Optimization: Conduct cost and pricing review for Central region operations.
4. Product Rationalization: Focus on high-margin products; discontinue chronic loss-makers.
5. Performance Monitoring: Track profit margin as a primary KPI alongside sales.

Business Impact (Expected)

- Margin improvement of 3–5 percentage points through discount control.
- Reduction in loss-making orders by 20–30%.
- More sustainable, profit-led sales growth.

This insights document complements the Power BI dashboard and is intended for management review and decision-making.